THE PRESSURE POINTS

The Covid-19 pandemic added to the employment crisis, with some sectors seeing a near-total closure and big job losses. How has the budget addressed key issues?

TRAVEL & HOSPITALITY

The travel and hospitality sectors were hit the most by Covid-19. In March last year, Union tourism minister G. Kishan Reddy said that 21.5 million people involved in the tourism sector had lost their jobs due to the pandemic.

What the budget has done: The focus on tourism to identify 50 focus destinations is a boost; better infrastructure to aid last-mile connectivity.

TEXTILES

With high-street sales in the US and Europe declining, value-added textile sales from India suffered, and so did jobs. India's exports dropped 12 per cent year-on-year in Dec. 2022. With recession fears in the US and Europe, things may get bleaker.

What Budget has done: Allocation of Rs 900 crore for Amended Technology Upgradation Fund scheme for 2023-24; focus on enhancing the yield of extra-long staple cotton to help increase the manufacturing of value-added garments.

RETAIL

India's $950-billion retail sector provided 40-60 million direct jobs. But it had to bear the brunt of the pandemic as consumers restricted purchases to essentials. Around 200,000 jobs were impacted in the sector.

What the budget has done: Put money into the hands of the middle class to help spending on durables and electronics, among other items.

MSMEs

There are an estimated 63 million micro-, small- and medium-scale enterprises in India, employing 111 million people. Thousands of them were forced to close down during the pandemic, per industry sources. The worst-hit were those in the contact-based sectors of retail, hospitality and travel and tourism.

What the budget has done: The revamped credit guarantee scheme through infusion of Rs 9,000 cr. in the corpus will lead to lowering the cost of credit.

AUTOMOTIVE

It was one of the worst-hit sectors during the pandemic. Production as well as sales came to a virtual halt in April 2020. The sector was later impacted by a semiconductor shortage, leading to slower production. Car sales have revived lately, but jobs remain vulnerable to economic ups and downs. An estimated 345,000 people lost their jobs in the automotive sector alone during the pandemic.

What the budget has done: Introduced higher capex outlay to spur growth and put more money into the hands of individuals; the old government vehicles scrappage plan will also help.

REAL ESTATE AND CONSTRUCTION

The $120-billion real estate and construction sector employed 52 million people, of which 41 million are informal workers. The lockdowns triggered by the Covid-19 pandemic halted construction activities across the country, rendering millions of workers jobless.

What the budget has done: A higher outlay for the Pradhan Mantri Awas Yojana; Rs 10 lakh crore capex spend to spur construction activity.

in the March quarter. "If the largest companies are not growing their asset base, where will new growth come from?" asks Vyas. The industry thus plays a critical role as employment creator. There are an estimated 31.8 million jobs in the manufacturing sector, which has around 531,000 establishments. Real estate and construction employ 52 million people, of which 41 million are informal workers. The retail sector provides 40-60 million direct jobs. There are an estimated 63 million MSMEs in India, employing 111 million people.

Other experts continue to bet on high growth, asserting it will automatically lead to higher job creation. "The fundamental issue is growth. It needs to be engineered. With companies preferring technology rather than human beings, we are always going to have this problem," says Sabnavis. Hiranandani says that every Rs 100 put into real estate gives 1,000 times more employment compared to putting it into manufacturing. "If you want a higher employment growth rate, there is no other way but housing and infrastructure. The truth of the real estate sector is that you haven't pushed it well enough," he says. Sabharwal believes sales, customer service and logistics to be the fastest-growing segments in India. "In the long run, we'll create another 50-70 million jobs. The PLI scheme for manufacturing is working well. Manufacturing will go from contributing 11 per cent to 17-18 per cent to GDP in due course," he adds. The higher capex, the increased allocation to Railways, the thrust on urban infrastructure and the push to get more private investment are all aimed at further economic growth.

The Indian economy is staring at a difficult period ahead, which is likely to exacerbate the issue of jobs as well. Only a concerted effort to push growth and a sharp focus on employment-generating sectors can create the jobs the country desperately needs. Budget 2023 makes a good start. ■